88%

UNIT: ENTREPRENEURIAL SKILLS
CAT 2 – CONTINUOUS ASSESSMENT TEST

44/50

TIME: 1 HOUR
TOTAL MARKS: 50

INSTRUCTIONS

1. Answer **ALL questions**.
2. Read each question carefully and apply entrepreneurial knowledge to the situation provided.
3. Show relevant examples where necessary.
4. The marks allocated to each question are indicated in brackets.

1. A young entrepreneur has started a small phone-accessories business near a college. After three months, sales begin to decline because several competitors are offering similar products a lower prices.

a) State **two possible reasons** why the entrepreneur may be losing customers.
(4 marks)

b) Suggest **two practical strategies** the entrepreneur could use to regain customers and impro sales.
(4 marks)

2. Mary wants to start a small business producing and selling fresh fruit juice. Before investir her savings, she decides to find out what customers want, the prices charged by competitors a the most suitable location for the business.

a) Identify the **business activity** Mary is carrying out before starting the business.
(2 marks)

b) Explain **three ways** this activity can help Mary make better business decisions.
(6 marks)

3. A group of students plans to start a laundry business near a technical college. They have identified students and college staff as their potential customers. However, they are unsure to make their business different from existing laundries.

Suggest **four competitive strategies** the students could use to attract and retain customers
(8 marks)

1

a ① Price uncompetitiveness → Customers offer Similar Services at Lower Prices

② Lack of Product differentiation → The Entrepreneurs Services offer no unique value or features.

b ① Loyalty Rewards → offer deals e.g. buy a Screen Protector and Case at discount.

② Offer Value added Services → Provide free installation of Screen Protector and Phone Cleaning.

2 a) Market Research

b ① Understanding Customer needs → Helps tailor fruit flavours, packaging.

② Competitive Pricing → allows her to Set Prices that are Both Profitable and Affordable Com to Competitors

③ Optimal Location Selection → identifies high-fo traffic areas to Maximize Customer visibility Accessibility.

3 ① Free Pick up and Delivery → offer free from Student dorms or Staff offices adds Convinience.

② Staff Discounts & loyalty → introduce discou for Bulk Orders.

③ Added Service Features → use Premium fab Softeners, Scent Choices and offer folding

④ Fast turnaround Services → Provide Same-d 12-hr washing and ironing options

2

4) a) Inaccurate Profit Determination → He cannot calculate his actual net Profit or loss accurately because the total Expenses are unknown. 2

2 b) Financial mismanagement → Untracted expenses lead to Unmonitored Spending and money loss without accountability. 2

b) Cash Book
Profit and loss account. 2.

5) Affordable Product Redesign → Creating Custom, designer Style clothes using lower cost Materials to make them affordable to young people. 4

2) Digital marketing and E-Commerce integration → utilizing Social media to showcase designs and Enable online Buying.

b) Wider Market Reach
Reduced Operational Cost. 2.

to

6 a) Trust and Compatibility → The degree of mutual Shared goals and agreement on decision making Profit Sharing among 4 friends.

b) Shared liability and Risks → They share loss Profit. 6

c) Capital Requirement & Contribution → The a of Capital each Contribute.

7) a) Breach of Contract. → Results in Contact termination. 4

b) Unfavourable legal and financial liabilities. 2